

SUPERIOR COURT OF JUSTICE - ONTARIO

RE: Brenda Barker v. Kennedy Bingo, Ontario Fund Raising Group, Trentvitale Holdings Inc., and Ontario Corporation Number 1033553

BEFORE: MASTER R.A. MUIR

COUNSEL: Cory Schneider for the plaintiff
Keith Lee-Whiting for the proposed defendant Packiyanathan Sinnappu o/a B.N. Cleaning

REASONS FOR DECISION

[1] The plaintiff brings this motion pursuant to Rule 5.04 of the *Rules of Civil Procedure*, R.R.O. 1990, Reg. 194 (the “Rules”) for an order granting her leave to amend her statement of claim to add Packiyanathan Sinnappu o/a B.N. Cleaning (“BN”) as a party defendant.

BACKGROUND

[2] This action arises out of an accident which took place on December 28, 2008 at the premises of Kennedy Bingo in Scarborough. It appears that the plaintiff was using the washroom when she slipped and fell on an accumulation of water on the floor of the washroom.

[3] The plaintiff retained her current lawyer on February 24, 2009. On March 13, 2009, the plaintiff’s lawyer wrote to Kennedy Bingo advising that they had been retained by the plaintiff. The letter also advised that the plaintiff had fallen as a result of the accumulation of water on the floor of the washroom and requested a copy of the accident report prepared in connection with the incident. The letter did not ask for any information with respect to whether any independent third parties may have been responsible for the cleaning and maintenance of the washroom.

[4] Kennedy Bingo’s insurer responded on June 5, 2009 and indicated that they were investigating the incident.

[5] It appears that in July, 2009 the plaintiff's lawyer carried out certain investigations in order to determine the identity and proper names of the occupiers of the premises. On September 23, 2009, the plaintiff's lawyer sent an email to Kennedy Bingo's insurer specifically asking for the name of any independent third party contractor responsible for cleaning the washroom in question. Kennedy Bingo's insurer did not respond to that inquiry and it appears that the plaintiff's lawyer did nothing further to follow up on that request prior to issuing the statement of claim on November 3, 2010.

[6] Following the service of the statement of claim, Bell Temple was retained to act on behalf of the defendants. In a letter dated January 6, 2011, Bell Temple advised the plaintiff's lawyer of the existence of BN as being an independent third party cleaning contractor and was "the cleaner hired with respect to the premises". Bell Temple also advised that BN was "at the premises at approximately 10:00 p.m. on the night of the slip and fall accident specifically to clean the washroom in question". BN takes issue with this allegation and states that it had not been on the premises since 8:30 a.m. on the morning before the accident.

[7] After receipt of this information, the plaintiff's lawyer then brought this motion, which was first returnable on March 16, 2011 and subsequently adjourned to August 25, 2011.

THE POSITIONS OF THE PARTIES

[8] The plaintiff takes the position that she did not discover her claim against BN until January 6, 2011 when her lawyer received the letter from Bell Temple. Consequently, the two year limitation period set out in the *Limitations Act, 2002*, S.O. 2002, c. 24, Sch. B (the "*Limitations Act*") has not yet expired and will not do so until January, 2013.

[9] BN argues that the plaintiff should have been aware from the outset that there may have been an independent third party cleaning contractor. Obviously someone was responsible for cleaning the washrooms and the plaintiff should have done more to obtain this information and done so in a timely manner. As a result, BN argues that the plaintiff has failed to add BN as a party defendant within the time limits allowed by the *Limitations Act.*, resulting in prejudice to BN.

ANALYSIS

[10] The relevant provisions of the *Limitations Act* provide as follows:

1. In this Act,

"claim" means a claim to remedy an injury, loss or damage that occurred as a result of an act or omission;

...

Basic limitation period

4. Unless this Act provides otherwise, a proceeding shall not be commenced in respect of a claim after the second anniversary of the day on which the claim was discovered.

...

Discovery

5. (1) A claim is discovered on the earlier of,

- (a) the day on which the person with the claim first knew,
 - (i) that the injury, loss or damage had occurred,
 - (ii) that the injury, loss or damage was caused by or contributed to by an act or omission,
 - (iii) that the act or omission was that of the person against whom the claim is made, and
 - (iv) that, having regard to the nature of the injury, loss or damage, a proceeding would be an appropriate means to seek to remedy it; and
- (b) the day on which a reasonable person with the abilities and in the circumstances of the person with the claim first ought to have known of the matters referred to in clause (a).

[11] Rule 5.04(2) provides as follows:

(2) *Adding, Deleting or Substituting Parties* - At any stage of a proceeding the court may by order add, delete or substitute a party or correct the name of a party incorrectly named, on such terms as are just, unless prejudice would result that could not be compensated for by costs or an adjournment.

[12] The principles applicable to motions to add parties in circumstances such as this are set out in the decisions of Master Dash in *Wong v. Adler*, [2004] O.J. No. 1575 (S.C.J. – Master); affirmed, [2005] O.J. No. 1400 (Div. Ct.) and *Wakelin v. Gourley*, [2005] O.J. No. 2746 (S.C.J. – Master); affirmed, [2006] O.J. No. 1442 (Div. Ct.).

[13] At paragraph 45 of *Wong*, Master Dash states as follows:

45 What is the approach a judge or master should take on a motion to add a defendant where the plaintiff wishes to plead that the limitation period has not yet expired because she did not know of and could not with due diligence have discovered the existence of that defendant? In my view, as is clearly implied in

Zapfe, the motions court must examine the evidentiary record before it to determine if there is an issue of fact or of credibility on the discoverability allegation, which is a constituent element of the claim. If the court determines that there is such issue, the defendant should be added with leave to plead a limitations defence. If there is no such issue, as for example where the evidence before the motions court clearly indicates that the name of the tortfeasor and the essential facts that make up the cause of action against such tortfeasor, were actually known to the plaintiff or her solicitor more than two years before the motion to amend, the motion should be refused. If the issue is due diligence rather than actual knowledge, this is much more likely to involve issues of credibility requiring a trial or summary judgment motion, provided of course that the plaintiff gives a reasonable explanation on proper evidence as to why such information was not obtainable with due diligence. That is not to say that such motion could never be denied if the evidence is clear and uncontradicted that the plaintiff could have obtained the requisite information with due diligence such that there is no issue of fact or credibility.

[14] In *Wakelin*, at paragraphs 14 and 15, Master Dash discusses the nature of the evidence required on motions such as this:

14 The question is how much evidence must the plaintiff put in at the pleadings amendment stage to establish that the proposed defendants could not have been identified with due diligence within the limitation period? The short answer is: not very much. As stated by the Court of Appeal in *Zapfe*: "In most cases one would expect to find, as part of a solicitor's affidavit, a list of the attempts made by the solicitor to obtain information to substantiate the assertion that the party was reasonably diligent" and provide "an explanation for why she was unable to determine the facts."

15 Therefore, as long as the plaintiff puts in evidence as to steps taken to ascertain the identity of the tortfeasors and gives a reasonable explanation on proper evidence as to why such information was not obtainable with due diligence then that will be the end of the enquiry and the defendants will normally be added with leave to plead a limitations defence. This is not a high threshold. If the plaintiff fails to provide any reasonable explanation that could on a generous reading amount to due diligence the motion will be denied. If the plaintiff puts in evidence of steps taken but the proposed defendant also provides evidence of further reasonable steps that the plaintiff could have taken to ascertain the information within the limitation period then the court will have to consider whether the plaintiff's explanation clearly does not amount to due diligence. If there is any doubt whether the steps taken by the plaintiff could not amount to due diligence then this is an issue that must be resolved on a full evidentiary record at trial or on summary judgment. The strength of the plaintiff's case on due diligence and the opinion of the master or judge hearing the motion whether the plaintiff will succeed at trial on the limitations issue is of little or no concern on the motion

to add the defendants. The only concern is whether a reasonable explanation as to due diligence has been provided such as to raise a triable issue.

[15] I have considered and applied these principles to the evidence before me on this motion and have come to the conclusion that this is an appropriate case in which to grant leave to the plaintiff to add BN as a party defendant. This is not a situation where the plaintiff had prior knowledge of the existence of an independent third party cleaning contractor but simply did nothing to attempt to ascertain the contractor's name. All the plaintiff knew was that someone was responsible for cleaning the washrooms. Was it Kennedy Bingo staff or was it someone else? The plaintiff's lawyer asked Kennedy Bingo's insurer whether there was such an outside cleaning contractor but received no reply. It may have been prudent for the plaintiff's lawyer to have followed up and obtained an answer one way or the other. However, I do not read the applicable authorities as requiring a plaintiff to carry out such investigations in circumstances where she had no information that such a potential tortfeasor even existed.

[16] The facts on this motion can be distinguished from the situation in *Pepper v. Zellers Inc.*, [2006] O.J. No. 5042 (C.A.), a decision relied upon by BN. In *Pepper*, the main plaintiff alleged that her pharmacy and pharmacist mislabeled her medication which resulted in her hospitalization. The plaintiff in *Pepper* knew that there was a dispensing pharmacist who may have been liable for her damages but took no steps to ascertain her identity until after the applicable limitation period had expired. The Court of Appeal held that the plaintiff had failed to provide a reasonable explanation demonstrating why the identity of the dispensing pharmacist could not have been ascertained through the exercise of reasonable diligence. Here, however, there is simply no evidence that the plaintiff had any reason to believe that an independent third party may have been responsible for cleaning and maintaining the washrooms. It obviously occurred to the plaintiff's lawyer that it may have been a possibility but the evidence shows nothing more than that.

[17] In my view, the plaintiff has satisfied the relatively low evidentiary burden placed upon her on this motion.

CONCLUSION

[18] The plaintiff is therefore granted leave to add BN as a party defendant and to amend her statement of claim in accordance with the draft amended statement of claim at tab 2 of the plaintiff's motion record dated August 5, 2011.

COSTS

[19] The plaintiff has been completely successful on this motion and I see no reason why costs should not follow the event. The plaintiff's costs outline seeks costs of \$8,657.50 on a substantial indemnity basis. Although BN did not have a costs outline available at the hearing of the motion, its counsel indicated that its substantial indemnity costs were similar to those set out in the plaintiff's costs outline. I have reviewed the plaintiff's costs outline and it appears that the time spent is reasonable having regard to the factors set out in Rule 57.01(1). However, I see no basis for costs on a substantial indemnity basis. An elevated costs order should only be made on the basis of Rule 49 or upon a finding of reprehensible conduct. See *Clarington (Municipality) v. Blue Circle Canada Inc.*, 2009 ONCA 722 at paragraph 40. Under the circumstances, it is fair and reasonable that BN pay the plaintiff's costs of this motion on a partial indemnity basis, fixed in the amount of \$3,500.00, inclusive of HST and disbursements, payable within 30 days.

Master R.A. Muir

DATE: August 25, 2011